HIGH-LEVEL SUMMARY TECHNICAL ASSISTANCE REPORT

SOUTH AFRICA

Workshop on Fraud and Investigations Involving Crypto Assets

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Fiscal Affairs Department

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The *High-Level Summary Technical Assistance Report* series provides high-level summaries of the assistance provided to IMF capacity development recipients, describing the high-level objectives, findings, and recommendations.

ABSTRACT**:** In response to a request from the South African Revenue Service (SARS), the International Monetary Fund (IMF) conducted a capacity development workshop in November 2025 focused on fraud and investigations involving crypto assets. The workshop was the first of its kind. It aimed to enhance SARS' investigative and intelligence capabilities by providing technical knowledge on the crypto asset ecosystem, regulatory frameworks, and practical investigation techniques. Key findings highlighted the evolving regulatory environment in South Africa, the challenges posed by crypto assets for tax and customs enforcement, and the benefits of cross-agency collaboration and open-source intelligence tools. Recommendations emphasize the need for ongoing training tailored to different expertise levels, and the development of analytical and investigative tools to better detect and address crypto-related fraud and tax evasion.

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Background

The capacity development (CD) project was initiated following a formal request from the South African Revenue Service (SARS) in April 2024, aiming to strengthen SARS' capacities to mobilize digital tools for intelligence and investigation. The IMF and SARS jointly identified fraud related to crypto assets as a domain of CD. This workshop, held in Pretoria in November 2025, focused specifically on customs and tax investigation, intelligence, and data analytics related to serious crimes involving crypto assets. It was funded by the State Secretariat for Economic Affairs of Switzerland (SECO). The Korean Customs Service (KCS) also supported the event by providing experts who contributed to the training.

The workshop was designed to address the growing importance of crypto assets in South Africa's economy and the associated risks for tax evasion and illicit financial flows. It provided an interactive platform for SARS staff from various divisions—including the Syndicated Tax and Customs Crime division, the Crypto-Asset Revenue Augmentation Unit, and the Data Science Team—to deepen their understanding of the crypto ecosystem, national regulatory frameworks, and practical investigation techniques. This initiative aligns with broader IMF priorities to support member countries in adapting their fiscal and customs administrations to emerging digital financial technologies, thereby enhancing revenue mobilization and compliance monitoring.

Given the rapid evolution of crypto assets and their increasing use in both legitimate and illicit activities, the workshop's objectives were to demystify blockchain technologies, share international good practices, and foster collaboration within SARS and with external partners. The technical assistance complements ongoing efforts by South African authorities to implement international standards such as the OECD Crypto-Asset Reporting Framework (CARF) and to develop regulatory clarity around crypto assets, which are classified as financial products under South African law.

Summary of Findings

South Africa's crypto asset market is relatively advanced and dynamic, with an estimated 9 to 12 percent of the population holding crypto assets and over 240 authorized crypto asset service providers operating domestically. SARS is addressing emerging challenges in both tax and customs enforcement related to crypto assets. These challenges stem from the inherent complexity of blockchain technology, the diversity of crypto asset types, and the sophisticated obfuscation techniques used by fraudsters, such as mixers, tumblers, and peer-to-peer exchanges. SARS currently prioritizes taxation of crypto assets, relying on suspicious transaction reports and indirect indicators to detect undeclared mining activities.

The workshop discussed the regulatory landscape in South Africa, where multiple agencies including the National Treasury, South African Reserve Bank, Financial Sector Conduct Authority, SARS, and the Financial Intelligence Centre collaborate through working groups to regulate crypto assets. This national landscape was compared to the French and South Korean landscapes. South Africa's approach aligns with international definitions and standards. In many countries and regions, including South Africa, the regulatory framework is evolving, with recent initiatives to implement the OECD's CARF and revise the Common Reporting Standard to improve transparency and compliance.

International experiences shared by experts from France and South Korea provided insights into effective organizational structures, investigative methodologies, and legal frameworks for crypto asset enforcement. Both French Tax administration and South Korean Customs service have developed

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specialized teams and tools to trace crypto transactions, cooperate across agencies, and execute asset forfeiture procedures despite technical and jurisdictional challenges. Practical exercises during the workshop demonstrated the utility of open-source intelligence (OSINT) tools and commercial platforms for transaction tracing and fraud detection, highlighting the importance of combining technological knowledge with investigative rigor.

Finally, the workshop fostered internal collaboration within SARS by bringing together diverse units with varying technical expertise. This cross-divisional interaction generated an internal dynamic, it helped identify knowledge gaps and establish internal points of contact for technical support, which is critical for addressing the multifaceted nature of crypto-related fraud that spans tax evasion and customs violations.

Summary of Recommendations

This workshop being the first of its kind, the IMF and SARS teams dedicated time to draw some lessons from this exercise, which should be conducted again, internally and jointly with other revenue administrations and the IMF.

To build on the workshop's achievements and address the challenges identified, capacity development efforts should focus on enhancing both technical knowledge and practical investigative skills. Training programs need to be tailored to different levels of expertise, ensuring that frontline officers receive sufficient technological grounding while technical specialists gain hands-on experience with investigative tools. As a lesson learnt, integrating practical exercises throughout training, rather than isolating technical content, will improve knowledge retention and operational effectiveness.

Strengthening internal collaboration within revenue administration is essential to create a cohesive response to crypto asset-related fraud. This may include formalizing communication channels between tax, customs, data science, and specialized crypto units, and designating crypto reference officers or "ambassadors" to promote awareness and intelligence sharing. Raising awareness among senior management through targeted seminars may also help prioritize crypto asset enforcement within the agency's broader mandate.

Investing in analytical capabilities is critical. In the domain of crypto assets, revenue administration could explore partnerships with international and domestic stakeholders to advance data analytics applications specific to crypto assets, leveraging existing data sources and integrating blockchain analysis software. Experimentation with emerging technologies and data-driven approaches would enable more effective detection of undeclared mining, money mule schemes, and trade-based illicit financial flows.

Developing analytical work on the use of crypto assets for tax evasion and customs fraud would be beneficial for the whole community of law enforcement agencies, as the current state of knowledge related to crypto asset fraud is still mainly focused on scams, thefts or use of cryptocurrencies on the Darkweb. Producing knowledge, based on fieldwork and analysis of real cases addressed by revenue administration, would raise the awareness of the crypto ecosystem on the misuses of crypto assets for tax and customs fraud.

Finally, developing comprehensive training materials and expanding the use of open-source intelligence tools would further empower investigators to keep pace with the rapidly evolving crypto asset landscape.

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